

1.7 LIMITATIONS OF NATIONAL INCOME STATISTICS

Multiple Choice Questions

1993/CE/II/41

The nominal Gross National Product (GNP) of a country may overstate the living standard of its people because the figure

- (1) does not reflect the improvement in the quality of the goods and services produced in the country
 - (2) does not reflect the effect of a rise in the price level
 - (3) excludes the undesirable effects of production
 - (4) excludes the goods not transacted in the market
- A. (1) and (2) only
B. (1) and (4) only
C. (2) and (3) only
D. (3) and (4) only

1999/CE/II/30

Under which of the following circumstances will the per capita real GNP underrate the living standard?

- A. when the construction industry causes noise pollution
B. when there is an increase in population due to immigration
C. when Mrs Lam does the housework by herself instead of employing a servant
D. when there is inflation

2002/CE/II/27

Country X has a higher GDP but a lower general living standard than Country Y. Which of the following is a possible reason for this?

- A. The net factor income from abroad of Country Y is smaller.
B. The working hours of people in Country Y are longer.
C. Capital goods make up a higher proportion of the output of Country Y.
D. The population size in Country Y is smaller.

2006/CE/II/50

GDP at constant market prices would **NOT** be a good indicator to compare the living standard of two countries when the _____ of the two countries is different.

- (1) population size
 - (2) income distribution
 - (3) inflation rate
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2010/CE/II/29

The per capita real GDP of a country would overstate the living standard of its people because it

- (1) does not reflect the improvement in the quality of goods and services produced.
 - (2) does not reflect the uneven distribution of income.
 - (3) does not reflect the undesirable effects of production.
 - (4) excludes the calculation of the goods and services not transacted in the market.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

Short & Structured Questions

1991/CE/I/3

Suppose there are only two countries and two commodities in the world. Every year each has 20 units of resources. Each uses 10 units of resources per year to produce each commodity. The annual output per unit of resources is shown below:

	Food (units)		Clothing (units)
Country A	6	OR	12
Country B	5	OR	20

- (a) (i) Define 'Gross National Product' (GNP). (4 marks)
- (ii) In Country A, the market prices of food and clothing are \$2 and \$1, respectively. Calculate the GNP for country A. (4 marks)
- (b) To compare the general living standard of any two countries, what should we consider in addition to comparing their GNP figures? State and explain **THREE** of them. (9 marks)

1993/CE/I/4(a)(ii)

The following table shows the composition of Hong Kong's Gross Domestic Product (GDP) in 1980 and 1990:

	(Ratio to total GDP)	
<u>GDP Components</u>	1980	1990
Private consumption expenditure	62%	62%
Government consumption expenditure	A%	6%
Investment	36%	28%
Exports	88%	165%
Imports	93%	161%

Although Hong Kong people spent the same percentage of GDP on consumption in 1980 and 1990, their living standard increased during the decade. Give **TWO** reasons to explain this. (4 marks)

1994/CE/I/11(d)

It is known that Country A has a lower GDP than Country B, but people in Country B prefer to live in Country A. Give **TWO** economic reasons to explain why this is so. (6 marks)

1996/CE/I/10(c)

Suppose after trade, Country B has a higher consumption level of both clothing and rice than Country A.

Give **THREE** reasons to explain why we cannot conclude that people in Country B generally enjoy a higher living standard as compared to Country A. (6 marks)

2005/CE/I/6

Answer Questions 6 and 7 by referring to the following information about the Gross Domestic Product (GDP) of Hong Kong.

Table 1:

Year	Implicit price deflator of GDP	Per capita GDP at current market prices (HK\$)
2001	98.1	188 835
2002	94.6	183 790
2003	89.6	179 333

Other than the information given in Table 1, state **TWO** kinds of information that are needed for an accurate reflection of Hong Kong people's standard of living. Explain your answer. (4 marks)

2007/CE/I/5

During an economics class discussion, a student said, "If the per capita real GDP of country X is higher than that of country Y, then residents of country X must be enjoying a higher living standard than residents of country Y."

Give **TWO** reasons to explain why the student is wrong,

(4 marks)

2009/CE/I/7(b)

Explain with **TWO** reasons why a change in per capita real GDP cannot accurately reflect the change in the general living standard.

(4 marks)

2022/DSE/II/3a

Refer to the following data about Country A.

Year	2019	2020
Per capita disposable income	\$15 000	\$20 000
Gini coefficient (based on household income)	0.51	0.56
Gini coefficient (based on household disposable income)	0.51	0.44

- (a) State **TWO** reasons to explain why the increase in per capita disposable income may lead to an over-estimation of the improvement in living standard of Country A.

(2 marks)